EXECUTIVE SUMMARY

A. Introduction

Old folks in Amulung claim that the place got its name from a vine, which was then abundant in the forest. Natives called this vine "Am-a-mulung". Since then, the place came to be known as Amulung up to its operation as a Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as a second (2nd) class Municipality, covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991" extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for CY 2018 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Financial Highlights

For CY 2018, the financial information of the Municipality is presented below:

Particulars	2018	2017	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	632,325,219.28	507,838,530.69	124,486,688.59	19.69%
Liabilities	205,175,687.99	141,925,566.00	63,250,121.99	30.83%
Government Equity	427,149,531.29	365,912,964.69	61,236,566.60	14.34%
Result of Operations				
Income	147,144,885.22	139,698,092.19	7,446,793.03	5.06%
Expenses	128,280,725.27	92,418,894.44	35,861,830.83	27.96%
Appropriations, Allotments and Obligations				
Total Appropriation	167,724,212.78	156,952,580.74	10,771,832.04	6.42%
Total Obligations	117,599,010.95	97,063,909.62	20,535,101.33	17.46%

Particulars	2018	2017	Increase/(Decrease)	
			Amount	Percentage
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	23,729,184.24	20,056,062.80	3,673,121.44	15.48%
Local Gov't Units	-	-	-	
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	47,000.00	47,000.00	-	

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Amulung as of December 31, 2018 due to the following:

1. Unrecorded Real Property Tax (RPT) – Basic, Discount of Real Property Tax-Basic, and Fines and Penalties – Property Taxes amounting to P119,704.86, P76,911.17 and P245,100.04, respectively, which resulted to the understatement of the Tax Revenue account by P287,893.73.

2. The share of the Special Education Fund (SEF) totaling to P2,338,812.74 in the collection of RPT for CY 2018 was recorded in the books of the General Fund under the Real Property Tax Receivable account instead of in the SEF books under the Special Education Tax Receivable account, thus understating the RPT Receivable account in the General Fund and overstating the Special Education Tax Receivable account.

3. There is a material discrepancy between the Real Property Tax Receivable and Special Education Tax Receivable accounts amounting to P8,583,688.26, thus affecting the reliability of the accounts.

4. The Due to LGU account (Province of Cagayan) of the Municipality amounting to P65,022.53 does not reconcile with the Due from LGU account (Municipality of Amulung) of the Province of Cagayan, thus affecting the reliability of the Due to LGU account.

5. The Accounts Payable account, with the total amount of P9,858,226.35, cannot be relied upon, due to non-submission of supporting documents to support the Journal Entry Voucher (JEV), thus casting doubt on the reliability of account.

6. The Property, Plant and Equipment account with a total net book value of P199,265,982.40, could not be relied upon due to the failure of the Municipality to conduct physical inventory of all its properties and the non-submission of Inventory Report thereon, thus casting doubt as to the existence and condition of the properties and the reliability of the corresponding depreciation.

7. Goods in-kind received from the Department of Health amounting to P1,962,398.06 were not recorded in the books of accounts, resulting to the understatement of the accounts Drugs and Medicines for Distribution, Medical, Dental & Laboratory Supplies for Distribution and Grants and Donation in Kind.

D. Summary of Significant Observations and Recommendations

The following are the audit team's significant audit observations and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on April 15, 2019:

1. **Eight (8) projects funded out of the 20% Development Fund for CY 2018 amounting to P17,547,130.20 were not implemented, which is not in accord with Items 2.0 and 5.0 DILG DBM Joint Memorandum Circular No. 2017-1, thus resulting to the delayed delivery of the socio-economic development and environmental outcomes of the Municipality.**

   We recommended that the Management implement the projects as planned and address the causes of delays in the implementation of the eight (8) programmed developmental projects in order to maximize the utilization of the funds and ultimately achieve desirable socio-economic development and environmental outcomes on the Municipality.

2. **Twenty-nine (29) projects funded out of the 20% Development Fund for CYs 2008-2017 amounting to P40,820,481.80 remained unimplemented, which is not in accord with Items 2.0 and 5.0 DILG DBM Joint Memorandum Circular No. 2017-1, thus resulting in delayed delivery of the socio-economic development and environmental outcomes of the Municipality.**

   We recommended that the Management implement projects as planned and address the causes of delays in the implementation of the 29 programmed developmental projects in order to maximize the utilization of the funds and ultimately achieve desirable socio-economic development and environmental outcomes of the Municipality. We further recommended that the Management design strategies to immediately resolve the root cause of the increasing number of unimplemented projects.

3. **Thirty-three (33) programs, projects and activities funded out of the share of the Municipality from the collection of Burley and Native Tobacco Tax totaling P75,000,000.00 were not implemented, which is not in accord with Section 18 of RA 7160, thus resulting in the delayed delivery of socio-economic benefits to its constituents especially the tobacco farmers.**

   We recommended that the Management maximize the use of the funds received as share from the tobacco excise tax, through proper planning and improved

efficiency in its procurement process so that the programs are implemented on time and the tobacco farmers obtain optimum benefit from said projects.

4. **Savings out of the 20% Development Fund in prior years totaling P9,513,065.69 were not reverted to the unappropriated surplus of the general fund at the end of the fiscal year, contrary to Section 322 of RA 7160, thus depriving the LGU constituents of the possible benefits they can derive from the utilization of the fund.**

   We recommended that the Management review the balances of the continuing appropriations and the unexpended balances pertaining to prior years in the amount of P9,513,065.69 and revert the same to the unappropriated surplus of the general fund.

5. **The Municipality did not comply with some categories of the minimum standards for disaster preparedness, thereby affecting its ability to anticipate, cope and recover from the negative impacts of emergency occurrences and disasters.**

   We recommended that the Management comply with all categories of the minimum standards for disaster preparedness. We also recommended that the Management formulate a comprehensive and integrated LDRRMP in accordance with Joint Memorandum Circular No. 2013-1 of National Disaster Risk Reduction and Management Council, Department of Budget and Management and Department of Interior and Local Government, in close coordination with the local development council.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2018:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	₱17,807,707.61	0.00	692,414.46	P17,115,293.15	4%
Current Years	0.00	15,000.00	15,000.00	0.00	100%
Total	₱17,807,707.61	0.00	692,414.46	P17,115,293.15	4%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of 14 audit recommendations contained in the CY 2017 Annual Audit Report, five (5) were implemented, eight (8) were partially implemented and one (1) was not implemented.